3.1 Introduction

Student activity

Think: A trader sold goods on credit to one of his customers for ₹ 2,000. After two days, the customer returned some of the goods worth ₹ 300, which were in damaged condition. The trader received back the goods. Later, when the customer paid ₹ 1,700, the trader demanded for full payment. He forgot about the returned goods. How can this situation be avoided?

Accounting process starts with identifying transactions involving money or money's worth and recording these financial transactions in the books of accounts. Transactions are recorded as and when they take place based on authentic documents or proofs or evidences. The authentic proofs are called as the source documents.

3.2 Source documents

Source documents are the authentic evidences of financial transactions. These documents show the nature of transaction, the date, the amount and the parties involved. Source documents include cash receipt, invoice, debit note, credit note, pay-in-slip, salary bills, wage bills, cheque record slips, etc. They are the bases of recording transactions in the books of accounts. They also serve as legal evidence in case of any legal dispute. The source documents commonly used are discussed below:

(i) Cash receipt/voucher

It is a document that shows the date, amount and details of cash purchases and cash sales or other cash transactions. Business persons receive cash receipt for cash purchases and issue cash receipt for cash sales.

Specimen of a cash voucher

TNPL

TAMIL NADU NEWSPRINT AND PAPERS LIMITED
CASH PAYMENT VOUCHER

Organization Name : Tamilnadu Newsprint & Papers Limited			
Invoice Type		Voucher No	
Party Code		Party Name	
Party Address			
Party Site		Payment Mode	
Po No		Chq.Party Name	
BIC Code		A/C No	
Pay Group		Pay Group Desc	

Transaction Details

Invoice No	Due Date	Invoice Date	Voucher No	Voucher Date	Amount
				TOTAL	

Prepared By	Checked By	Approved By

Acknowledgement

Received ₹ --------- /-
Rupees in words :---------- Only

Signature with Date

PAYMENTS - OTHERS

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